Housing: Two Models of Public Authority

Reading 3 of 4: Home Forward, Detroit, and East Detroit's two housing institutions

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How to read this case

Read this case before discussing any change to housing services in East Detroit.

The first section describes East Detroit's two housing institutions. They are **SCENARIO** facts set by the instructor. Everything after that section concerns **real** public organizations between 2005 and 2026. Do not present any of it as East Detroit performance data.

The real evidence is not all the same kind. As you read, keep these apart:

- **Documented facts:** statements in official records, laws, agency announcements or data the agency supplied.
- **Reported findings:** what journalists found or what officials told them, tied to a date.
- **Allegations and open investigations:** claims that have not been decided. An investigation is not a finding of misconduct.
- **Questions for the class:** marked as **OPEN**.

Bracketed codes such as [D1] or [H5] point to the numbered source list at the end. Figures refer to the date of their source, not to 2030.

East Detroit's two housing institutions (SCENARIO)

The instructor has established **two existing, separate housing institutions** in East Detroit. The class is not being asked whether to create or merge them.

1. **City and County of East Detroit Housing Division (EDHD).** Part of the consolidated municipal government, accountable through the city-county executive, council, budget appropriations and public records process. The division sets and runs local housing policy and programs: financing housing development and preservation, local tenant and homeowner assistance, homelessness prevention, and coordination with planning and human services. It may manage locally financed housing or contracts under municipal authority. It cannot allocate an independent authority's federal vouchers.
2. **East Detroit Regional Housing Authority (EDRHA).** An **independent public housing authority** with its own governing commission, management, budgets, federal housing agreements, property and rental-assistance operations, and accountability duties. It serves East Detroit and **participating surrounding communities beyond the city-county boundary**, so its constituency is broader than the city. This design is modeled on Home Forward's regional reach. EDRHA administers federal housing assistance and its housing portfolio, and runs local or regional programs where agreements

authorize them. The city-county cannot direct its board or take its records merely because the authority serves city residents.

These are two public bodies with separate mandates **inside one consolidated city-county**, not two competing governments called "the city" and "the county." They serve many of the same residents and run related programs, which creates real administrative problems. Both exist at the class's 2030 starting point. Their coordination agreements, shared processes, data-access rules, financial contributions and implementation choices are **OPEN**.

1. The Detroit model

Detroit Housing and Revitalization Department: a city department

Detroit's **Housing and Revitalization Department (HRD)** is an office of city government. According to the city, the department directs housing policy, manages HUD entitlement funds and municipal housing investments, finances new housing and preservation, supports homeowners and renters, and works with partners on homelessness. The city's own description names its partnership with the **independent Detroit Housing Commission**. HRD is the closest real precedent for East Detroit's housing division. [D1] [D2]

Detroit's *2025–2030 Affordable Housing Strategy* sets targets of **preserving 10,000 affordable units and building 3,000** over five years. These are Detroit's policy targets, not achieved results, and they are not scaled to East Detroit. They show a city department choosing investments and measuring production and preservation separately from a voucher authority's daily operations. [D3]

Detroit Housing Commission: a separate authority with a federal relationship

The **Detroit Housing Commission (DHC)** is a public housing authority that administers rental assistance and housing. It is governed separately from the city's HRD.

- **Federal takeover.** After administrative, financial and management failures, HUD took control of DHC's operations on **July 7, 2005**. [D4]
- **Transition plan.** In **January 2012**, HUD announced a plan to return DHC to local control that required sustainable governance, an oversight agreement and performance improvements. [D5]
- **Return to local control.** DHC states that HUD released it from the recovery administrator on **March 13, 2015**. [D6]
- **Board.** Under Michigan law, a **five-member board appointed by Detroit's mayor** governs the commission, including at least one resident of subsidized housing. Mayoral appointment does not make DHC a city department. [D6]

This history shows that a housing authority can be **locally governed and federally accountable at the same time**. The city can influence board appointments and coordinate policy. HUD can impose federal program rules and intervene when the agency fails to meet its obligations.

Detroit's operating problems (reported findings)

- **Income and voucher recertification.** Outlier Media reported that understaffing produced long backlogs in the federal voucher program. In April 2023, **221 of 1,960 recertifications due** had been

completed. In 2024 reporting, a backlog of **1,747 delinquent recertifications** remained despite help from an outside contractor. While a recertification is pending, rent amounts and subsidies can be wrong. Landlords reported delayed payments, and some stopped accepting DHC vouchers. [D7] [D8]

- **Capacity and unmet demand.** Outlier reported that for a period the agency used roughly **1,500 fewer vouchers** than its capacity, partly because it lacked staff to process the required work. A housing benefit authorized on paper is different from a household actually receiving and using it. [D8]
- **Vacancy and building condition.** In a 2023 Outlier interview, the interviewer put public housing occupancy at about **78%**. Later reporting described vacancy near **23–24% in September 2024**, along with problems collecting rent and deteriorating buildings. [D9] [D10]
- **Recovery, with limits.** In a 2025 follow-up, Outlier reported that DHC management said it had mostly cleared the recertification backlog, that vacancy had fallen from **24% to 14%**, and that **all 15 complexes** had passed that year's HUD inspections. The same article reported residents whose housing problems persisted. These are reported outcomes and management statements for that period, not proof that every resident's problem was resolved. [D11]

What Detroit shows: a shared digital form cannot, by itself, fix unstaffed queues, wrong payment calculations, inspections, landlord distrust or an underfunded property portfolio. Staffing, authority, incentives and financing are part of the service.

2. Home Forward

Home Forward is a public corporation that serves as the housing authority for Portland and Multnomah County, including Gresham and communities in east Multnomah County. It states that it is **not part of the City of Portland's government**. It works with the city, the county and other partners, and administers some programs on their behalf. It runs housing assistance, affordable properties and related services. [H1]

Board, jurisdiction and accountability

Home Forward has a **nine-member volunteer commission**: **four Portland representatives, two from Gresham, two from Multnomah County and one housing-program participant**. The board sets policy, approves the budget and hires the executive director. The appointing governments influence who serves but do not run Home Forward's day-to-day housing transactions. [H2]

Portland also has a **Portland Housing Bureau**, which finances affordable housing, supports preservation and administers local housing policies. Portland is therefore a *second* real example of a city housing bureau working alongside a separate housing authority. East Detroit's arrangement combines this pattern with Detroit's division between HRD and DHC. [H3]

Federal flexibility: Moving to Work

Home Forward joined HUD's **Moving to Work (MTW)** demonstration on **April 1, 1999**. MTW gives selected public housing authorities limited flexibility to design local approaches to funding and program administration, subject to federal conditions and reporting. It does not give a city unrestricted access to

federal records, and it does not guarantee more housing or sound management. In October 2026, Home Forward was reportedly considering changing its MTW participation, partly to address voucher funding. [H4] [H5]

A documented operating and financial crisis

The table separates **different kinds of evidence**. Read the "Reported finding" column for who said what, and when.

Table 1. Home Forward, 2025–2026: what was reported, and when

When	Reported finding	What to examine
November–December 2025	A November vacancy report described **956 of 6,847 units vacant**, about **14%**. Later coverage rounded the count to 955. The agency cited damaged units, market conditions and other causes. A high vacancy count does **not** mean every unit was ready for immediate occupancy. [H6]	Unit condition, affordability, waiting lists, location, eligibility and leasing speed
February 2026	Data supplied by Home Forward showed an average of **185 days to fill a vacancy in 2025**. Buildings Home Forward managed directly averaged **172 days**; buildings run by management contractors had different averages. [H7]	Who owns each handoff, property management contracts, and how long units are actually available to lease
February–March 2026	Reporting identified high vacancy, lost rent revenue, weakening debt-service coverage, tenant safety concerns and uneven performance among contracted property managers. A March report described one manager averaging **292 days** to fill units. [H8] [H9]	Contractor oversight, financial feedback loops, resident safety
April–May 2026	Willamette Week reported **more than $100,000 in agency-funded CEO travel during 2023–2025**, based on public records. On **April 29**, Home Forward announced that CEO Ivory Mathews would resign effective **May 1**; Michael Buonocore became interim chief. Officials and residents questioned the board's oversight. [H10] [H11]	Board scrutiny, conflicts of interest, executive reporting, leadership and public accountability
August 2026	The Oregon Government Ethics Commission voted to **investigate** the former CEO's travel spending. The vote opened a full investigation. **It is not a finding of misconduct.** [H12]	The difference between an accusation, preliminary grounds and a formal finding

When	Reported finding	What to examine
October 26, 2026	Home Forward's interim director estimated a **$38 million budget gap for 2027** and said the **2026 shortfall** had grown from an earlier estimate of **$13.8 million to nearly $38 million**. A possible **$28 million HUD shortfall payment for 2026 was not guaranteed**. Responses under discussion included staff cuts, lower administrative spending, changes to the share of rent tenants pay, and reconsidering MTW terms. The proposed changes to tenant contributions were expected to affect **12,356 households**. [H5]	Forecasting, dependence on federal funds, shifting costs to tenants, and who has authority to change benefits

The operating tension. A housing authority can face intense unmet need while also holding vacant apartments, leasing slowly, carrying high operating costs, running a strained budget and hearing serious complaints from tenants about living conditions. No single figure identifies the cause. The vacancy count includes properties needing work, units with different affordability restrictions, and units whose rents may no longer compete with some market offers. The useful question is: *which operating, financial, legal or housing-market conditions produce each delay or vacancy?*

The governance tension. A separately governed authority can have public representation and formal controls and still suffer serious oversight failures. MTW-style flexibility cannot replace accurate financial reporting, adequate staffing, property performance or a functioning board.

3. Two precedents for two East Detroit institutions

Table 2. Detroit, Portland and East Detroit compared

Question	Detroit: city department + DHC	Portland: Housing Bureau + Home Forward	East Detroit starting condition (SCENARIO)
Municipal housing office	Detroit HRD sets policy, invests funds, supports production, preservation and homelessness services [D1]	Portland Housing Bureau finances housing and local protections [H3]	**EDHD**, a city-county department that must take part
Separate authority	DHC runs its own federally accountable programs; five-member board appointed by the mayor [D6]	Home Forward is an independent public corporation with nine commissioners from several jurisdictions [H1] [H2]	**EDRHA**, an independent regional authority

Question	Detroit: city department + DHC	Portland: Housing Bureau + Home Forward	East Detroit starting condition (SCENARIO)
Who it serves	Detroit, with federal and development partners	Portland, Gresham, Multnomah County and other county communities	East Detroit **and participating neighboring communities**
Separate sources of money	City investment and entitlement funds versus the authority's housing assistance and property finance	Local housing funds versus federal vouchers, property revenue and other sources	Separate city and authority funds, with terms for joint projects
Failures highlighted	Recertification backlogs, staffing, occupancy, inspections and property problems [D8] [D11]	Vacancy turnover, debt pressure, forecast gap, governance and oversight [H7] [H5]	Neither failure is assumed; students examine whatever local baseline evidence exists
Possible cooperation	Development, preservation, homelessness referrals and resident services	Housing finance, shared projects, landlord relations and property operations	Defined intake, referrals, local assistance, housing placement, record correction, financial coordination (**OPEN**)
Why they may disagree	Independent duties and federal voucher administration	Regional constituency, separate board, funding restrictions	EDRHA may refuse a requested integration or ask for contract conditions

The research question is not whether one government should "own housing." It is whether two agencies serving the same population have compatible goals and legal powers, and whether removing duplication keeps the functions that must stay separate.

What overlap can and cannot tell us

Possible savings to investigate: duplicated household intake, repeated address checks, conflicting program directories, staff referrals with no case tracking, repeated requests to landlords, inconsistent vacancy reporting, and several help desks with no clear handoff.

Work that should not be quietly merged: program-specific federal eligibility and appeals; HUD voucher funding; property ownership and debt; inspections and habitability; city appropriations; regional board accountability; and resident confidentiality.

A possible harm of a shared process: more households get referred to a program that has no funding, staff, available unit or willing landlord. Faster eligibility screening can lengthen a queue if the bottleneck is housing supply or leasing, not intake.

4. One household, two agencies

A household is behind on rent and may lose its home. This is an **illustrative case**, not an adopted East Detroit service design.

Table 3. Who could do what for a household facing eviction

Step	City Housing Division could…	Regional Housing Authority could…	Other participants
Understand the need	Offer a city-funded prevention program, navigation help or a referral	Identify an existing voucher, lease or property relationship, where authorized	Household, landlord, advocates
Check address and identity	Use a municipal address or residency service under adopted rules	Use its own records and HUD verification rules for its programs	GIS, county human services, HUD
Apply program rules	Decide eligibility for local funds	Decide eligibility, rent calculations and voucher or lease rules for its separate programs	State or federal program administrators
Find available help	Allocate a limited city-funded grant	Confirm the actual voucher budget, available property, subsidy and inspection requirements	Finance, property manager, landlord
Deliver a result	Pay a qualifying landlord, or issue a local decision or referral	Issue or adjust assistance, or offer a qualifying unit under program terms	Resident, landlord, courts where relevant
Correct errors and handle complaints	Correct the local case and allow appeals under city program rules	Correct its official voucher or tenancy record and use the required review process	The original record holder and any independent appeal body

A shared application, verified-status exchange, assisted referral or resident credential is an **implementation choice (OPEN)**. Each requires exact agreement on who sends what, for what purpose, under which rules, and who corrects a wrong result. Do not assume either agency automatically accepts the other's income record.

Federal limits on "one-click housing"

An earlier proposal for East Detroit imagined one-click housing approvals. Federal rules limit what that could mean.

- **Income verification.** HUD already runs the **Enterprise Income Verification (EIV)** system, which uses income and benefit information obtained through authorized federal arrangements. Public housing authorities use EIV under program rules. It is **not** a general municipal tax or payroll registry for citywide benefits. See HUD's system description and **24 CFR § 5.233**. [F1] [F2]
- **Vouchers.** For Housing Choice Vouchers, federally required verification and reexamination mean that an income flag alone does not show that a funded voucher or suitable unit exists. A city may fund its own locally governed rent-relief program, but changing an interface cannot create more federal vouchers. [F1] [F2] [F3]
- **Eviction court.** The earlier proposal's automatic court stay is withdrawn as a claimed city power. Eviction court rules, notice, case status, landlord action and judicial authority need an actual legal basis. A housing authority's automated referral cannot cancel a court case.

The underlying goal still stands: **stop making households find and re-prove the same facts over and over, where lawful and reliable processes can reduce that burden.** How to do it, its scope, its funding and who holds which authority are **OPEN**.

5. What the class inherits

Fixed by the instructor (SCENARIO):

- EDHD is a city-county department; EDRHA is separate and regional.
- Both serve overlapping East Detroit households.
- They have separate budgets, leaders, program rules, records and appeals.
- Participation by external authorities is voluntary in the exercise.
- Internal city-county departments must take part in planning.

Open to the implementation effort (OPEN): whether and where to coordinate applications, referrals, housing placement, housing production and preservation, verification, local rental assistance, landlord engagement, complaint routes, financial reporting or resident support; what each option requires from other agencies; and what happens if EDRHA declines.

Not decided by this case: student roles, sign-up, division of work, a mandatory housing application, an AI system design, a data-sharing agreement, new figures for the housing portfolio, or any promise of automatic rent relief.

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Dates are publication or agency dates where stated. Figures refer to those dates, not to 2030.

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- **[D3]** City of Detroit, 2025–2030 Affordable Housing Strategy. Preservation and production targets. https://detroitmi.gov/departments/housing-and-revitalization-department/strategic-plans-reports-and-data/2025-2030-city-detroit-affordable-housing-strategy
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- **[H3]** Portland Housing Bureau, About PHB. Municipal policy, finance and housing programs; distinct from Home Forward. https://www.portland.gov/phb/about
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